

## Rates Spark: Feels quite digital this time

There's a lot of optimism about a deal to be struck between the US and Iran. We're fine with that. But we are also cognisant that there is a polar opposite outcome that could still see us dipping back into a troubling direction, mostly as we've been down this route a few times now. Market rates took a breather lower on Wednesday. Expect an edge higher ahead



Lower oil prices pushed down euro rates

### Another day of waiting is likely through Thursday, and then we have an end game of sorts

Another waiting game was initiated on Wednesday by the US. Apparently it's for "48 hours". So we'll be none the wiser as we progress through Thursday. The immediate soundings are remarkably positive, despite the lack of details. Given what we can scrape and glean, the nuts and bolts of the framework for an agreement sound similar to the type of deal that had been under discussion in Pakistan through 11/12 April. Back then, by all accounts, there was a uranium enrichment ban bid/offer stretching from 5 years (Iran preference) to 20 years (US preference). But, US Vice President Vance walked away without an agreement.

Subsequent weeks helped explain why. The soundings out of Iran had shown a contentious "no" to

a ban on enrichment. And to boot, an ambition to maintain a degree of "monitoring control" over the Strait of Hormuz, post the war, or at least as part of a future agreement. Accepted there is absolutely some hard bargaining going on here. But there is also a sense of unease that Iran genuinely has these two hard lines that it is not willing to cross. If so, and we don't have an agreement, the risk could increase to a kinetic re-kindling. The US does not want to go there. The "Epic Fury" is apparently over. But something must give.

The market is betting on an agreement, mostly as a continuation of the war is not a stable outcome, and does not really suit either side. It may well be that other players impact the outcome. Last week an Iranian delegation met the Russians, who no doubt said keep up the good work. This week there is a meeting with the Chinese, and the soundings from there are likely along the lines that this needs to end. While the Chinese will not mind the bind that the US has found itself in, they, at the same time, will see a de-escalation as an outcome that they and their global southern allies need to see at this juncture. This indeed could swing the outcome.

From the perspective of the US, such is the preference for a deal to get done, that the risk is for it to be a poor deal. The markets won't mind, as the markets just want to see the Strait of Hormuz reopened and unhindered ahead. But the quality of the deal does absolutely matter for the US. Therein lies the risk of something even worse; a bad outcome on Friday – no deal. We're not calling for it. But we're not as comfortable as the market currently is. From a US rates perspective, we'd not be surprised to see a re-ratchet higher as we negotiate this uncomfortable vacuum through to Friday.

## **Renewed hopes for a path to open the Strait sparks Euro rates rally**

Eurozone rates are still tied to oil prices in an almost linear fashion, with the front end most sensitive. This pushed 2y rates down by more than 10bp on Wednesday. The market is back to 'only' discounting 60bp of ECB tightening by the end of the year. Monday had still seen more than three hikes priced in. 10y rates still dipped by almost 7bp and the 10y Bund yield is back below the 3% threshold.

With broader risk markets still well-supported and equity markets in the US even marching on to new all-time highs, it appears that EUR long end rates can still gloss over some of the deteriorating macro data of late. This helps to keep the bull steepening/bear flattening dynamic of curves alongside swings in oil prices in place, with inflation still the primary concern.

## **Gilts to face renewed political uncertainty, but fiscal path unlikely to change**

So far, gilt yields have not shown any signs of stress leading into the local UK elections on 7 May, but renewed political uncertainty could add to the upward pressure on sterling rates. A poor result for the Labour Party could, in theory, trigger a challenge to Starmer's leadership. This could, in turn, bring back a political risk premium.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing. We,

however, think a leadership change [won't materially alter](#) the fiscal or Bank of England outlook.

## Thursday's events and market view

Headlines around a potential Iran deal will keep markets on their toes. Elsewhere, the UK will hold local elections which can determine the fate of PM Starmer.

In terms of data, the focus remains on the US jobs market. Ahead of Friday's official jobs report, Thursday sees the releases of the Challenger job cuts data for April, weekly jobless claims numbers and consumer credit data for March.

There will also be a busy slate of central bank speakers. From the ECB Kocher, Villeroy and Schnabel will speak, while the BoE will field Lombardelli and Mann. We will also hear from the Fed's Kashkari, Hammack and Williams.

In the primary government bond markets, Spain will auction 3y 10y and 20y bonds as well as linkers for a total of up to €6.75bn. France auctions 10y, 15y, 20y and 30y bonds for up to €13.5bn.

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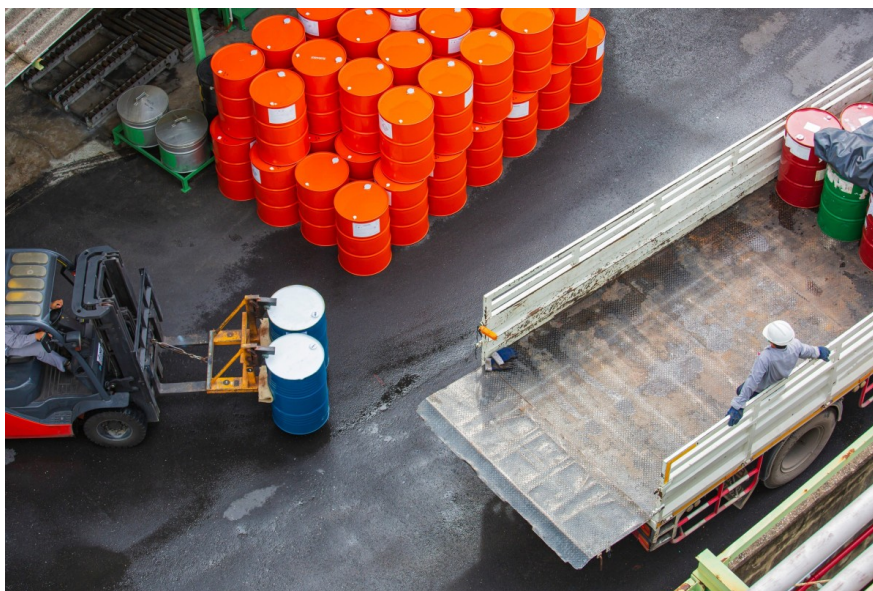
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## FX Daily: Remarkable resilience of risk assets

Investors have jumped on the news of 'great progress' in US-Iran negotiations, buying risk assets and selling the dollar. This is a far cry from the view that the oil market was close to a 'tipping point' which could trigger a non-linear spike in crude. It is too early to sound the all-clear in this crisis, but the USD can explore the downside



The prospect of a permanent peace deal between the US and Iran remains highly uncertain, and oil looks set to remain very volatile

### ⬇️ USD: Risk on, dollar off

It seems equity investors are still looking to put money to work and are jumping on positive-sounding news from the Gulf. The reaction to the pause of 'Project Freedom' looks a little overblown, though attention is also turning to Iran's recent shuttle diplomacy, with its foreign minister visiting Russia and China in recent days. The bullish view here is that President Trump wants a deal before visiting President Xi on 14-15 May, and China may be bringing pressure to bear on Iran.

The prospect of a permanent peace deal remains highly uncertain, however, and oil looks set to remain very volatile. Here, the focus in energy markets is whether a tipping point is reached over the next month. The story would be whether [oil inventories are drawn down so much](#) that a bidding war erupts for the ever-scarcer supply. This could lead to a non-linear jump in oil prices.

Given the inventory story is going to gain greater attention now, the focus today will be on the 1630CET release of the US EIA weekly oil inventory numbers. A 2.4m barrel drawdown is expected after a 6.2m fall last week. Any much higher drawdown than expected could send oil sharply higher again.

Yet this window of optimism on a peace deal has allowed money to flow back into equities – driven by the underlying conviction that the tech sector AI buildout will endure. Overnight, Asian equities performed very well. The standout has been Korea's Kospi, where news of greater foreign access to local equity markets has powered the Kospi to a 7% gain and lifted the beleaguered won. Chinese equities have also been doing well, and some better April PMI numbers are helping to drive USD/CNY to the lows of the year, near 6.81. This better EM environment is typically a dollar negative, as it was in January and February when EM was witnessing heavy portfolio inflows. Looking at ETF flows data, it seems that investors have paused and not reversed their inflows into EM since the Gulf crisis erupted – potentially showing a conviction call.

Add in what could have been another round of Bank of Japan dollar selling in early Europe and the dollar opens offered. Whether it falls much further today depends on the path of oil (headlines and inventory data) plus the release of the monthly US ADP jobs data. A healthy +120k gain is expected in April. Any big miss could weigh on the dollar.

Given the uncertainty in the Gulf, it looks dangerous to be chasing the dollar a lot lower from current levels and range support at 97.65/75 in DXY may hold again. Yet we have to acknowledge the enduring pro-risk/\$ negative undercurrent.

*Chris Turner*

## ➔ EUR: The euro has been underperforming

Looking at the performance of the euro on the crosses, e.g. EUR/GBP and EUR/CHF, one could argue that the euro has been a relative underperformer. Here, the eurozone economic data has surprised negatively on the downside for the last two months as higher energy prices have weighed. Nonetheless, EUR/USD is getting a slight bid from the pro-risk mood in the market and the conviction view that the ECB will deliver a precautionary rate hike in June. Given very elevated inflation expectations – e.g. 3.03% derived from the two-year inflation swap – the euro will need to see the ECB follow through with that hike. Failure to do so and a decline in real interest rates would hurt the euro.

Away from the Gulf and energy markets, the focus today will be on the ECB's wage tracker and the April PPI data. The last release for the former had wages expected to grow at 2.6% in 4Q 2026. Any increase here could prove euro-positive in that it would give the ECB more cause to hike.

We are not convinced EUR/USD needs to trade up to and above 1.18 just yet and would not completely rule out EUR/USD finding its way back to 1.1700 again.

*Chris Turner*

## ➔ GBP: The sterling conundrum

There has been much attention on the UK Gilt market this week, where Gilt yields have traded up to multi-year highs ahead of local elections on Thursday. Our rates strategy team [has some doubts](#) that the Gilt sell-off is being driven by the local election story, given that the UK swap



spread (Gilt yields versus GBP swaps) has been relatively stable. That could explain why sterling has been doing so well even as Gilts sell off.

If that is the case, then both Gilts and sterling do face some downside risks if Thursday's UK local election prompts a serious challenge to the current leadership of the UK Labour Party.

EUR/GBP has good support down at 0.8600/8610, which we expect to hold.

*Chris Turner*

## **BRL: One of our EM favourites**

As above, it seems like investors have an enduring demand for risk and some exposure to emerging markets. Latam as a region is seen as an **outperformer**, especially those with some independent access to energy. Here, Brazil is a net energy exporter and its terms of trade have risen sharply since the outbreak of hostility in the Middle East. Brazilian equity markets have been flying this year and with the local central bank expected to cut rates 100bp this year, local currency bonds could do well if conditions calm down.

USD/BRL has broken clear of 5.00 now. With implied yields in excess of 13%, we would expect the BRL to remain at the forefront of interest in emerging markets. The key threat is probably a political one should President Lula consider unfunded fiscal giveaways ahead of the October elections. However, investors look happy to bear that risk and USD/BRL losses could extend into the 4.80/85 area should the path to peace in the Middle East become any clearer.

*Chris Turner*

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# The Commodities Feed: Trump's 'Project Freedom' pause weighs on oil prices

The oil market has come under renewed pressure as the US-Iran ceasefire appears to still be holding despite a recent flare-up in tensions



## Energy - Saudis cut oil prices

Oil prices are under renewed pressure as the ceasefire between the US and Iran appears to be holding despite recent escalation in the Persian Gulf. Meanwhile, the market sold off further in early morning trading today after President Trump paused "Project Freedom" as the US seeks a deal to end the war with Iran. Trump said "great progress" has been made towards a "complete and final agreement". "Project Freedom" is Trump's plan to guide stranded commercial vessels in the Persian Gulf through the Strait of Hormuz. Its implementation led to a flare-up in tensions between the US and Iran. Looking ahead, developments in the Middle East will remain key to price direction.

A deal that normalises oil flows through the Strait of Hormuz is crucial. Roughly 13 mb/d of disrupted supply is being largely offset by inventory, which is clearly declining rapidly. This leaves the market more vulnerable with each passing day. Tighter stocks will only leave the oil market trading in an ever more volatile manner.



US oil inventory numbers from the American Petroleum Institute (API) show that crude oil inventories fell by 8.1m barrels over the last week. Gasoline and distillate stocks fell by 6.1m barrels and 4.6m barrels, respectively. The more widely followed Energy Information Administration (EIA) inventory data will be released today. Ahead of the release, US commercial crude oil inventories remain comfortable, at 459m barrels, slightly over 1% above the seasonal 5-year average. Yet this can change quickly, particularly if we continue to see record US crude oil exports.

US refined product stocks are a lot tighter heading into the release. US gasoline inventories stand at a little more than 222m barrels, down from 259m barrels in early February and at the lowest level for this time of year since 2014. Distillate stocks stand at a little under 104m barrels, the lowest level for this time of year since 2005. Tighter product markets should continue to see refined product cracks trading at elevated levels.

Saudi Arabia cut its official selling price for its flagship Arab Light to Asia for June. The OSP was cut from a record US\$19.50/bbl premium over the benchmark in May to US\$15.50/bbl. This is still the second-highest OSP on record. Crucially, this price assumes loadings from Ras Tanura, which sits in the Persian Gulf. This is clearly not happening. Instead, crude is being loaded at Yanbu on the Red Sea coast. As a result, final prices may be higher to reflect the logistical costs of shipping from the Red Sea.

## Metals – Geopolitical risks keep copper volatile

Copper edged higher as markets assessed whether the US-Iran ceasefire can hold. LME copper recovered on Tuesday afternoon from earlier losses in the session to trade back above \$13,000/t. It's supported by improved risk sentiment but capped by still-elevated exchange inventories, now close to the highest level since 2013.

The main risk for metals remains a prolonged closure of the Strait of Hormuz. That would lift energy costs, add inflation pressure and weigh on manufacturing demand, limiting upside for industrial metals. Copper is likely to stay headline-driven, with stronger physical demand or inventory drawdowns needed for a more sustained move higher.

In precious metals, gold rose as the US-Iran ceasefire appeared to hold. This is easing fears of a broader conflict while keeping some safe-haven demand intact.

A more durable truce would reduce energy-led inflation risks and lower the chance of further Federal Reserve tightening, which is supportive for non-yielding assets. For gold, the next driver will be the outlook for interest rates, with US Treasury borrowing plans and key economic data likely to shape expectations for Fed policy. The main downside risk is a stronger dollar or renewed Fed pushback on easing.

Meanwhile, World Gold Council data showed central banks turned net sellers of gold in March, with net sales of around 30t, although purchases in the first quarter still totalled 27t. Turkey led the selling, cutting holdings by 60t as part of efforts to support FX liquidity, taking its 1Q net sales to 79t. Buying remained concentrated, with Poland adding 11t in March and 31t year to date. China extended its buying streak to a seventeenth month, adding 5t. This points to a slower but still positive trend in official-sector demand, with reserve diversification remaining supportive for gold over the medium term.

## Agriculture – Cocoa rallies on supply concerns

London cocoa surged more than 15% yesterday, with prices breaking back above GBP3,000/t, as market attention turned to growing supply risks for the upcoming season. Early indications for the 2026/27 crop point to weaker than normal pod development, suggesting a slower start to the main harvest beginning in October. These concerns are reinforced by the potential for a return to stronger El Niño conditions. This could bring hotter and drier weather to key producing regions such as Ecuador and Indonesia, further threatening output.

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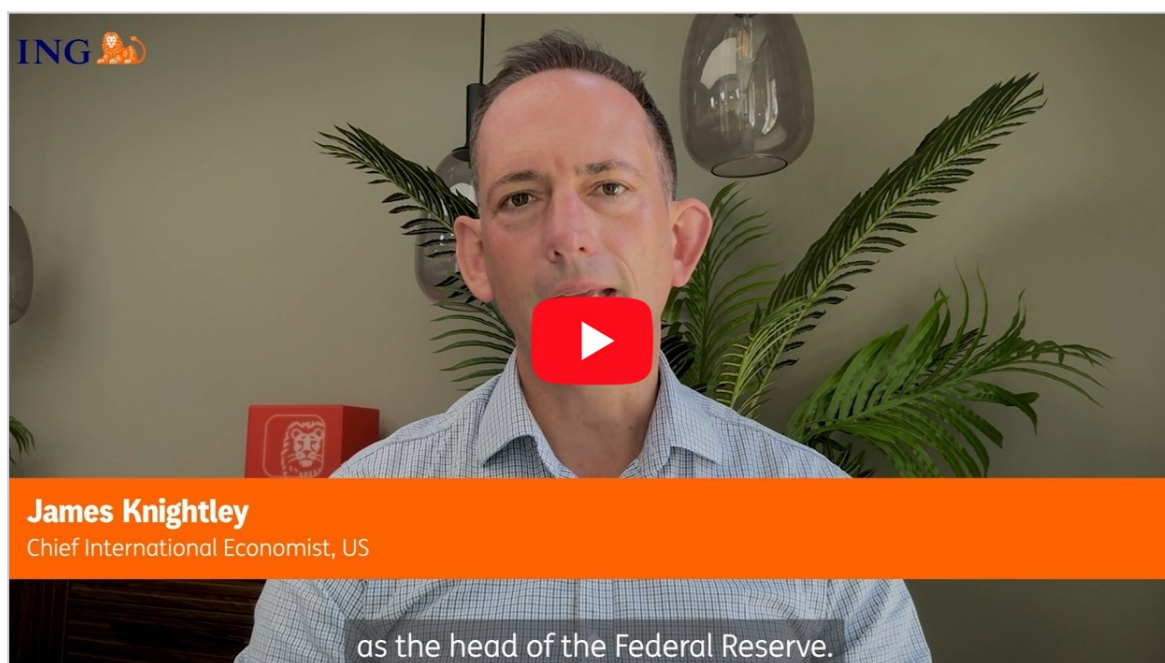
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## Watch: How two-way risks are dividing the Fed's policy outlook

The Federal Reserve remains split on where exactly rates are headed. If an agreement is reached that allows the Strait of Hormuz to be reopened and gas and oil flows to resume, rate cuts are still more likely than hikes, says ING's James Knightley



### How two-way risks are dividing the Fed's policy outlook

US inflation remains sticky and could rise again if energy prices jump, while growth and wage data are cooling. That mix is leaving the central bank on a more uncertain footing ahead of its incoming leadership transition

[Watch video](#)

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## Rates Spark: Triple-whammy for gilts

The 10Y gilt yield is hitting new records and politics could turn a double-whammy into a triple-whammy. Meanwhile, the US yields backdrop has come off extremes, but the problems that drove us there remain



US rates dipped while sterling rates hit new highs

### New record highs for sterling rates, but don't just blame politics

Sterling rates are reaching new record highs, but even though politics are easily blamed, external factors are the more obvious culprit. The 10Y gilt yield touched 5.1% during intraday trading, a level last seen in 2008. Gilts are facing a double-whammy, being both sensitive to inflation through higher oil prices and by being relatively vulnerable to spillovers from US markets. Already since the start of the crisis, markets have had a more hawkish take on the Bank of England's reaction function to higher oil prices. It is more hawkish than for the Fed or the European Central Bank (ECB).

Secondly, gilts' tight correlation with UST's is pushing rates higher on the back of US optimism. With equities in the US hitting new records, the 10Y UST yield has now drifted above 4.4% and seems to find little resistance. A sharp risk-off episode could push yields down again, but so far market sentiment seems very resilient. US macro data is also sturdy, which means that real rates are not showing any signs of economic weakness.

Gilt yields can therefore rise even higher from here, with politics posing the risk of turning the situation into a triple-whammy. So far, however, we're not seeing clear signs of investors turning more wary of the UK because of the political turmoil. For instance, the spread between gilt yields and swaps, which is often seen as a gauge of gilt market stress, has been relatively stable. Also, our FX strategists point out that the currency is not showing any weakness when accounting for rate dynamics. This could change, of course, but with eyes still fixated on the Middle East conflict, politics is likely to remain in the passenger seat.

## The US backdrop has come off extremes, but the problems that drove us there remain

Key US market rates had a dip day on Tuesday. The 10yr SOFR rate dipped back below 4%. But only just. Same for the 30yr Treasury yield, dipping below 5%. But to all intents and purposes, we are still looking at these two key metrics at 4% and 5% respectively, with the risk that these are floors for now rather than ceilings.

There is, at the same time, a credible narrative that these aforementioned levels represent 'value'. The 4% level for 10yr SOFR is a nice level to receive at (see more [here](#)). And for many players, getting a 5% handle on US Treasuries has been something of a novelty in recent decades. In addition, many players mark 4.5% on the 10yr Treasury yield as a structural buy.

We'd generally agree with these latter thoughts, as a structural view. But that does not mean we can't continue to move higher first, as a tactical view.

The issue here is inflation breakevens remain under rising pressure. They eased lower on Tuesday in tandem with an easing in the price of oil. But there is no dynamic that we can latch on to whereby there is any structural resolution to the supply shock coming from the Strait of Hormuz. Just because the ceasefire is holding does not translate into any imminent release of upward pressure on the oil price.

Change that narrative, and we can absolutely regard the aforementioned levels as in the buy zone. But until then, the risk is market rates continue to edge higher.

### Wednesday's events and market views

From the eurozone we have Spanish and Italian PMIs which will be watched. Over the past few weeks, the eurozone economic data have consistently disappointed to the downside relative to consensus. But with the Middle East conflict lingering on, we doubt we will see a positive spin on the data. Markets will also be watching the ECB wage tracker and PPI data for any signs of underlying inflation pressures in addition to the rising energy costs. From the US, we have the ADP employment data for April, which will be watched for signs of weakness, given the payrolls number is due on Friday. The US will also announce the new quarterly refunding plans.

In terms of supply, we open with a 30Y German Bund syndication for €3.5bn. Germany will also auction a 7Y Bund for a similar amount. From the UK we'll see a 9Y Gilt linker for £1.6bn.



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## Riksbank likely to hold but hawkish risks are growing

Sweden's central bank is likely to hold rates steady on 7 May, though we see a risk of a more hawkish tone. A rate hike in 2026 may become reality in Sweden if energy prices remain elevated for longer and if the European Central Bank hikes more than once. Our profile for EUR/SEK remains downward-sloping into year-end



The Riksbank in Stockholm, Sweden

### A hold, with a hawkish tint

The Riksbank will likely keep rates unchanged at 1.75% at the 7 May meeting. The OIS curve embeds close to zero probability of a hike, and consensus appears unanimous. That said, the chances of policy tightening later this year have increased over the past month.

At the 19 March meeting, the Riksbank discussed different inflation scenarios related to the Middle East conflict. In one of them, a prolonged energy shock would warrant monetary tightening despite downside risks to growth. We are clearly moving towards that scenario.

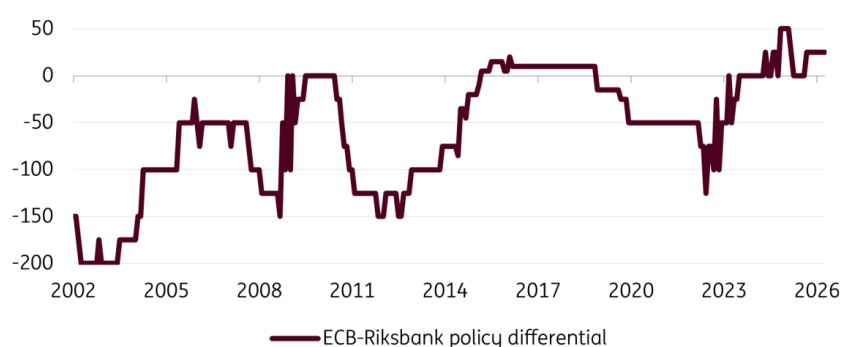
Governor Eric Thedeen said on 22 April that the “risk has risen somewhat that inflation could be

higher than we expected a few weeks ago." At the same time, he and other members have stressed that the risks of second-round effects are lower than in 2022, also thanks to a stronger krona. The starting point for inflation is also low.

There is therefore no urgency for the Riksbank to act, and a hold looks likely at this May meeting. However, we see an increasing probability of a hawkish shift in the policy message, with particular concern about risks of the de-anchoring of long-term inflation expectations.

We currently expect the next Riksbank rate hike only in the first half of next year. The longer energy prices remain elevated, the higher the chances of an insurance hike in 2026. Our Riksbank call is also partly tied to our ECB call. Our eurozone macro team currently expects only one ECB hike, but risks are rising of two increases to 2.50%. That would add pressure on the Riksbank to hike as well: the ECB-Riksbank rate gap has never been wider than +50bp.

## Riksbank will keep an eye on ECB policy too



Source: ING, Macrobond

## Inflation not an immediate concern

March's CPIF reading of 1.6%, down from 1.7% in February, was largely driven by a nearly 20% month on month fall in electricity prices. This reflects seasonal dynamics following the winter period, as well as a decline in package holiday prices, which helped offset increases in petrol and diesel prices of 15% and 28%, respectively, linked to the war.

Fortunately for Sweden, the economy is less exposed to fossil fuel driven inflation than many of its European peers. According to Eurostat data, around 50% of total available energy is renewable and a further 26% is nuclear, meaning that energy consumption is largely insulated from fossil fuel price movements.

We therefore expect inflation pass through to be more moderate and slower in Sweden than in the EU overall. The impact of VAT reductions on food this year should also prevent CPIF from rising as much as in the eurozone. However, the Riksbank's focus may be more on developments in longer term inflation expectations, as well as on a potentially widening gap with the ECB.

## Updated EUR/SEK view

Markets are pricing zero probability of a hike at this meeting, but around a 50% implied probability of a Riksbank hike in June. This likely reflects expectations of a more hawkish tilt at this meeting than in our baseline. That said, a clearer signal of openness to tightening at a later stage could be

sufficient to keep expectations for an August–September hike alive and avoid a negative SEK reaction.

We [have recently revised](#) our EUR/SEK scenario modestly higher, driven by a wider EUR–SEK front end interest rate differential. That said, we retain a downward sloping profile for the pair, with a year end target of 10.60. The growth drag should be more pronounced in the eurozone than in Sweden, and if the ECB delivers two hikes, we would expect the Riksbank to follow with one increase.

In the near term, equity market dynamics remain key for EUR/SEK. Even in the event of renewed escalation in the Middle East, upward volatility in the pair is more likely to be driven by the reaction in global equities than by the direct impact on crude prices. Our end 2Q target remains at 10.75, which embeds a ceasefire agreement and a partial reopening of the Strait of Hormuz.

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## Webinar: Asia's energy shock - Who is most exposed?

Join our live webinar on 7 May as ING's Deepali Bhargava, Lynn Song and Min Joo Kang discuss the impact of surging oil prices on key economies across Asia. [Sign up here](#)



Asia accounts for the bulk of oil flows through the Strait of Hormuz, with China, India, and Japan among the largest recipients. But exposure to this supply shock is far from uniform. Countries differ widely in their strategic oil reserves, their ability to cushion price spikes through policy, and how dependent they remain on imported fossil fuels versus alternative energy sources.

[Join ING's experts as they explain:](#)

- Why some countries are better placed to manage the disruption than others
- How differences in the energy mix and import dependence shape vulnerability
- What this divergence means for growth, inflation and policy choices across Asia

### Speakers

Deepali Bhargava, Regional Head of Research, Asia-Pacific

Lynn Song, Chief Economist, Greater China

Min Joo Kang, Senior Economist, South Korea, Japan

Hosted by ING Editor William Pesek

## Details

Date: Thursday, 7 May

Time: 1500 HKT/ 1600 KST /0900 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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## ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer



At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

## Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today's ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

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## Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook



UK Prime Minister Keir Starmer is in a fight for political survival

### Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

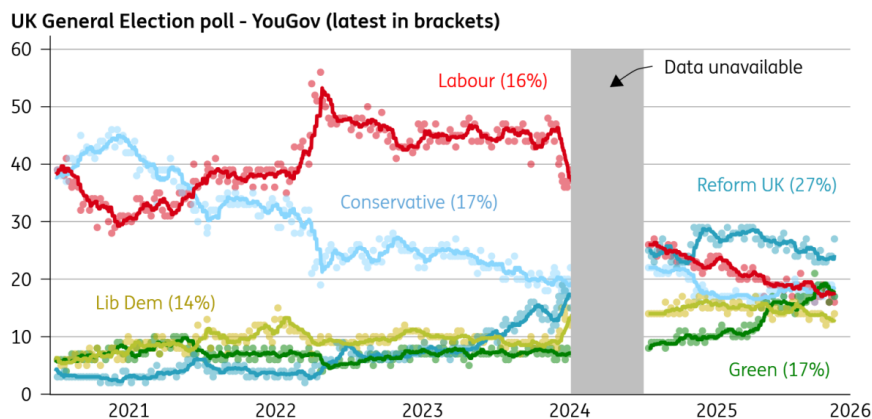
Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some [predictions](#).

The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

## The rise of the Green Party is a bigger issue for Labour than Reform UK



Source: YouGov

Solid line is the one month moving average

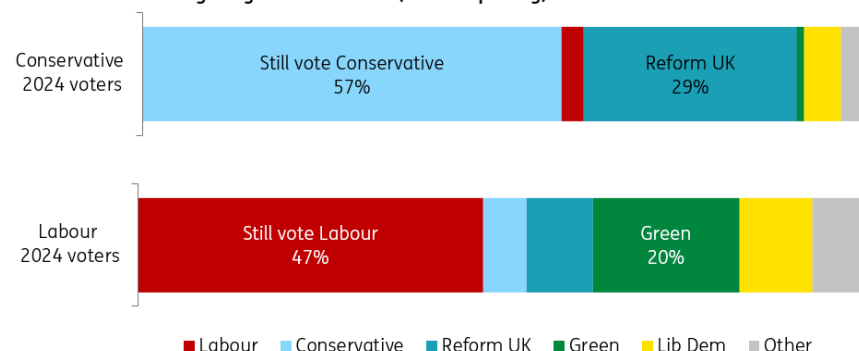
Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral Calculus in [January](#) and [April](#) of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

## 20% of Labour 2024 voters would now vote Green

Who 2024 voters say they'll vote for now (YouGov polling)



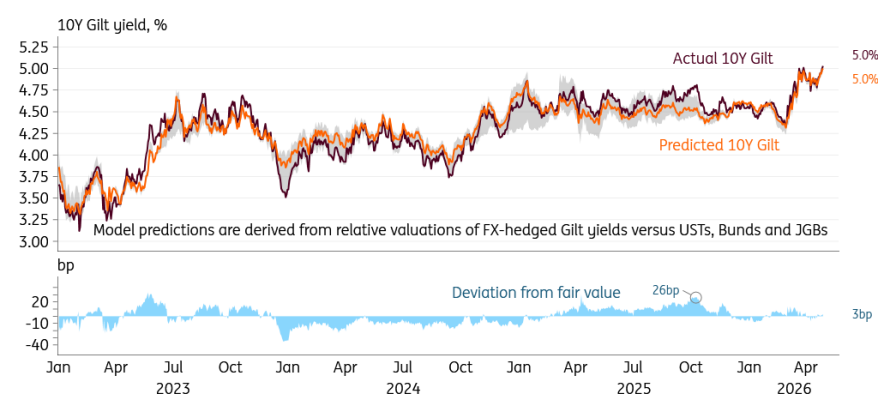
Source: YouGov

## How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

## There's virtually no risk premium in 10-year gilts



Source: ING, Macrobond

Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 “mini budget”, which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter



of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR [fails to account](#) for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A [recent speech](#) by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

## Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

## FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling

bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

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## The world waits for a climbdown

The war in the Middle East is forcing us to play a game we can't just walk away from. The longer it goes on, the worse things will become for consumers and companies. And central banks are facing their worst challenges. Carsten Brzeski is trying to make sense of it all



President Donald Trump descending Marine One last week

### Our new base case scenario

It was 1983 when the movie WarGames taught a generation that the only winning move in a nuclear standoff is not to play. Forty-plus years later, economists find themselves in a similar bind, except we don't have the luxury of walking away from the board. Wars have become our subject matter, and the 2020s have been unforgiving.

War is not a game. Lucky as I am to have only experienced the Cold War as a child, it is still almost unimaginable that we economists now have to become experts on war, or at least on the economic impact of conflict. The biggest lesson I've learnt is that predicting how military conflicts develop is close to impossible. And that's why, instead of having strong conviction calls, the best thing we can offer is scenario analysis. We're trying to understand the mechanisms and transmission channels at play, not to pretend we know when or how the war in the Middle East or Ukraine will end.

In our new base-case scenario, we assume negotiations between Iran and the United States will

drag on, prompting renewed tensions and even limited, calibrated military actions. It will take another 2 to 4 weeks before a deal is reached, uncertainty begins to retreat, and the Strait of Hormuz reopens. But don't forget that once that does happen, it will take a while before traffic returns to pre-war levels; insurers and shipowners will be cautious, at first. In this scenario, we see oil prices gradually retreating to below 90 USD/b by the end of the year.

## The 2022 playbook, with one big difference

It is obvious that with every passing day of a de facto blockade of the Strait of Hormuz, the risk of knock-on effects for the global economy grows. Consumers around the world are already feeling the sting of higher energy prices. Companies will be next, facing either new supply chain constraints or energy costs too high to make production viable, or both at once. It's the 2022 playbook, but at the risk of sounding like a broken record, one big difference between then and now is that four years ago, the global economy was emerging from lockdown with healthy balance sheets and an almost unstoppable consumer appetite to go out and spend - the perfect breeding ground for fast-spreading inflation.

This time, the inflationary impact of an energy price crisis is likely to be more muted, as consumers will be far more reluctant to open their wallets. You can already see that reluctance in reported willingness-to-spend indicators, which are currently well below 2022 levels. At the same time, the hit to economic activity could be sharper than in 2022: Asia will be harder hit by potential energy supply constraints, and public finances on both sides of the Atlantic are more stretched, leaving less room for fiscal stimulus. Watch out for companies in the middle of supply chains: they may end up squeezed the hardest.

## One of the worst challenges for central banks

The six weeks of war in the Middle East have created a new stagflationary drag on the global economy. This wave will vary somewhat across regions and intensify the longer the conflict lasts, but it poses one of the worst challenges central banks can face. As in 2022, we will increasingly see the return of "team transitory" versus "team structural", the former arguing that monetary policy can do very little about a genuine supply-side shock, the latter pushing for pre-emptive rate hikes to prevent price-wage spirals from taking hold. Our view is that a transatlantic divide will open up again: a Fed joining "team transitory" and still cutting rates later this year, and an ECB half-heartedly siding with "team structural", at least one insurance hike, more symbolic than inflation-stopping. Don't forget that since 2022, the word "transitory" is as forbidden in Frankfurt as "Voldemort" is in the Harry Potter series.

But before Voldemort brings too much darkness, Europe has had some genuine good news. The election results in Hungary should end the country's role as the permanent - if occasionally necessary - thorn in the EU's side. Despite the daily struggles of both the German and French governments, Europe now has no excuse or scapegoat for failing to approve the agreed loans for Ukraine and push forward on the single market and common energy policy commitments made back in February.

I suspect this ING Monthly won't be the last one filed under "war and economics." There was a time when the biggest macro risk on an economist's desk was a central bank meeting. Those days feel like a different game entirely. And unlike Matthew Broderick, we can't just unplug the computer.

## □ Our key calls

- In our new base case, we're assuming energy flows gradually recover through the second quarter, though remain below pre-war levels until at least year-end. That sees oil prices averaging 96 USD/bbl through the second quarter.
- We now expect a single ECB rate hike in June. Headline inflation at 4%, core inflation above 3% and a surge in survey-based inflation expectations would make inaction increasingly difficult to justify.
- We still expect two rate cuts later this year. Moderating shelter inflation should mitigate the energy-driven rise in inflation, shifting the focus to weaker consumer spending.
- In China, the CNY has stood out as a surprise winner in the currency space, despite the focus on China's oil imports. We are adjusting our USD/CNY fluctuation band forecast to 6.70-7.05, down from 6.85-7.2, and risks are now broadly balanced to this forecast.
- We're sticking to our call for no Bank of England rate hikes. A weak jobs market and the fact that policy is still restrictive reduce the need for action.
- Developed Asia – Taiwan, Japan, Korea – are better positioned to weather this crisis, helped by stronger energy buffers. Developing Asia looks more exposed.
- CEE central banks remain cautious after the Middle East energy shock, but rate hikes are not imminent. We think Poland and the Czech Republic will stay on hold as inflation risks remain manageable, while Hungary turns more hawkish amid weaker growth and delayed easing.
- Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. The backbone of our bearish USD view into year-end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front-end rates.
- We think US 10-year yields will rise back towards 4.5% in the second quarter.



## What the Middle East war means for the global economy right now

The war in the Middle East is starting to have serious consequences for economies around the world. We're not yet predicting a recession, but it's going to hammer growth and increase inflation. Carsten Brzeski says accurately predicting what's going to happen next, however, is a fool's game

[Watch video](#)

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# Three scenarios for energy, central banks, rates and FX markets

How a prolonged disruption to Middle East energy flows could affect inflation, interest rates and currencies



With the world in flux, certainty is a rare commodity

## Three scenarios for energy prices

|                                             | Length of disruption<br>(% disruption to<br>Strait of Hormuz flows) | Oil supply<br>lost<br>(m barrels) | Brent forecast<br>(USD/bbl) |     |     | Gas supply<br>lost<br>(bcm) | TTF forecast<br>(EUR/MWh) |    |    |
|---------------------------------------------|---------------------------------------------------------------------|-----------------------------------|-----------------------------|-----|-----|-----------------------------|---------------------------|----|----|
|                                             |                                                                     |                                   | Q2                          | Q3  | Q4  |                             | Q2                        | Q3 | Q4 |
| <b>ING base</b><br><b>1</b>                 | 100 60 30 15 10 10<br>Mar Apr May Jun Jul Aug                       | 1138                              | 96                          | 93  | 88  | 28                          | 55                        | 45 | 45 |
| <b>Prolonged<br/>disruption</b><br><b>2</b> | 100 100 50 40 20 20<br>Mar Apr May Jun Jul Aug                      | 1754                              | 110                         | 102 | 100 | 38                          | 74                        | 60 | 60 |
| <b>Re-escalation</b><br><b>3</b>            | 100 100 100 100 50 50<br>Mar Apr May Jun Jul Aug                    | 3635                              | 135                         | 150 | 120 | 58                          | 90                        | 75 | 80 |

Source: ING

## Energy markets

Financial markets are taking a glass-half-full view on the Middle East crisis amid the ongoing ceasefire and reports of another round of negotiations between the US and Iran. But there are still plenty of ways this situation could play out.

In our refreshed base case, we're assuming that talks drag on, prompting renewed US pressure.

The American blockade of the Strait of Hormuz is a good example of this. But despite ongoing disruption, a deal is ultimately reached that enables more traffic to flow through the Strait as we head into summer. Our new forecasts are based on energy flows returning to 70% of normal through May and 90% by July. Remember that damage to energy infrastructure will hamper efforts to return fully to normal.

This scenario would see Brent Crude trading between US\$90-100/bbl in the second and third quarters. TTF natural gas averages 55 EUR/MWh in the second quarter.

Alternatively, a scenario where prolonged disruption means flows return to only 60% of normal by the end of June, takes oil prices back above US\$100/bbl and keeps them there for the remainder of 2026. Natural gas prices show further upside, too.

A more extreme situation, where talks collapse and a sustained military escalation ensues, keeps the Strait of Hormuz closed until the end of June, with only a steady recovery thereafter. Oil prices go as high as US\$150/bbl in the third quarter.

## Central banks

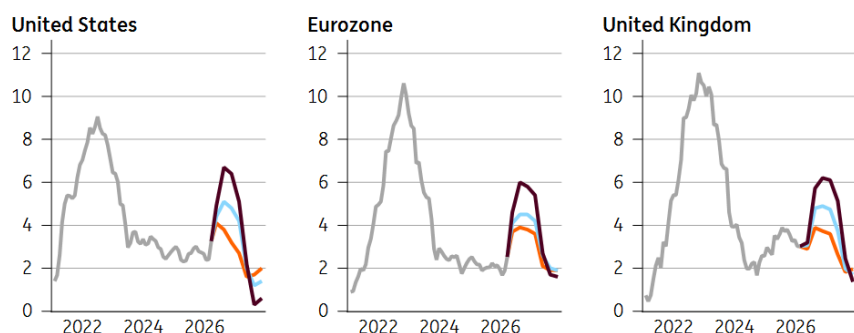
Our new base case sees the European Central Bank hiking rates in June, though for now we think that's a one-off. While the threat of second-round effects on inflation is considerably less than in 2022, we think headline inflation at 4%, core inflation rising towards 3% and the optics of survey-based inflation expectations metrics surging, will tempt Frankfurt into some very limited tightening. The fact that we're assuming a material improvement in flows through the Strait of Hormuz by the time of the June meeting should prevent that from turning into a more aggressive tightening cycle.

That changes if the disruption lasts longer and prices spike higher. The supply chain impact will become more unpredictable and widespread. And as the central banks have highlighted, the secondary impact on inflation risks snowballing. Our most extreme scenario sees US, eurozone and UK inflation peaking at or above 6% this year. If that happens, we'd expect multiple ECB hikes, though we also think it would be swiftly reversed through 2027 as the inflation threat recedes.

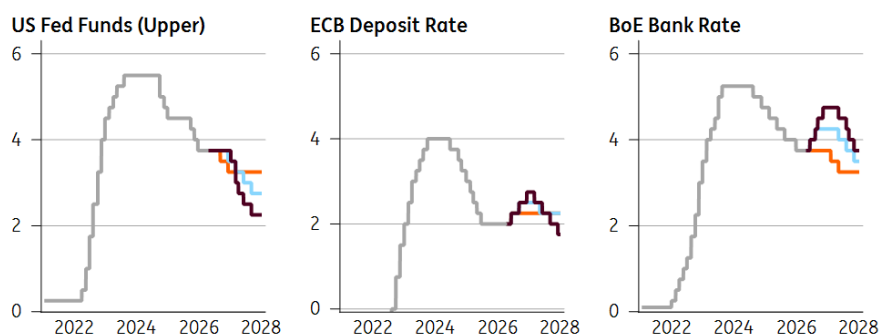
In contrast, we don't expect rate hikes from the Fed in any of our scenarios, although an interest rate hike can't be ruled out if energy prices rise above our base case. This is a far narrower supply shock for the US than 2021/22 and there isn't the same demand impetus. Over the medium term, we think higher transport fuel prices are more likely to weaken growth and employment rather than lead to persistently higher inflation. So while our more adverse scenarios delay the timing of the next cut as the Fed weighs up the risk of second-round effects, ultimately we think the higher energy prices go, the deeper the rate cut cycle that eventually follows. As Middle East tensions subside and energy prices drop, we expect officials to increasingly focus on the jobs aspect of its dual mandate.

## Three scenarios for central banks and inflation

### Inflation (YoY%)



### Central banks



Source: Macrobond, ING

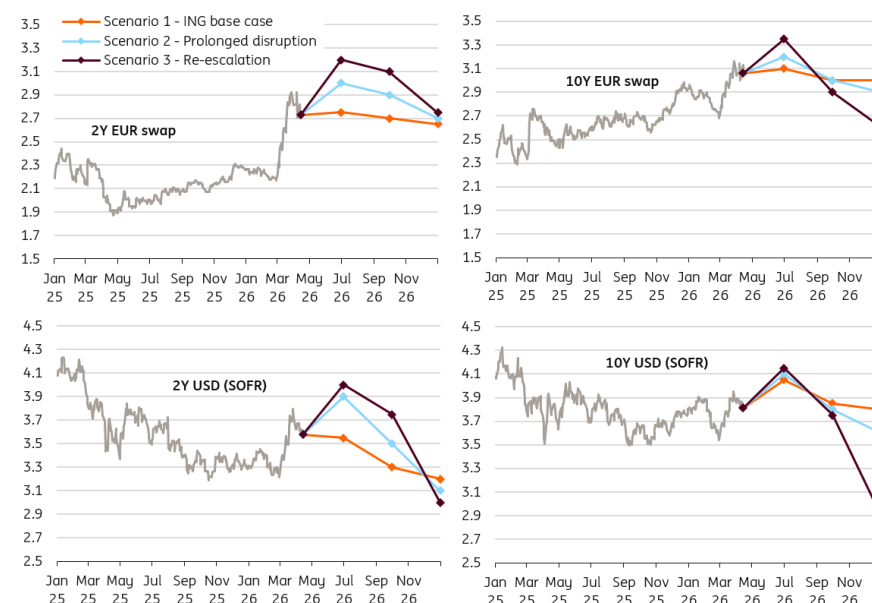
## EUR and USD rates: Higher rates will struggle to hold over the medium-term

Euro rate markets are still positioned for more than two ECB hikes and seem willing to price in more if oil prices were to rise again. In the near term, that means markets could even get pushed towards four hikes, implying a 2Y swap rate moving well above 3%. For the higher oil price scenarios, we do, however, anticipate a sharp dovish shift as growth concerns start mounting towards the end of the year. That means markets would already start eyeing ECB cuts in 2027, pulling the 2Y rate even below current levels.

For 10Y euro rates, the initial reaction to higher oil prices will still be bearish, but the scope to go higher should be limited. Growth concerns on the back of tighter monetary policy and higher energy costs should start weighing on market sentiment. In effect, this starts pushing down longer-dated rates, also explaining the 2s10s curve inversion towards the end of 2026 in the worst outcome.

The outlook is similar for US rates, with the 2Y swap reaching 4% in the highest oil scenario. Also, 10Y rates can move materially higher in the near term, even in our baseline scenario, especially since market sentiment remains resilient. With inflation numbers coming in hot throughout 2026, that upward pressure on rates should hold. When markets turn more pessimistic on the growth outlook, however, the focus should shift from inflation to recession risks. In effect, this pushes down real rates, bringing 2Y and 10Y to levels below where we stand today.

## Three scenarios for swap rates



Source: Macrobond, ING

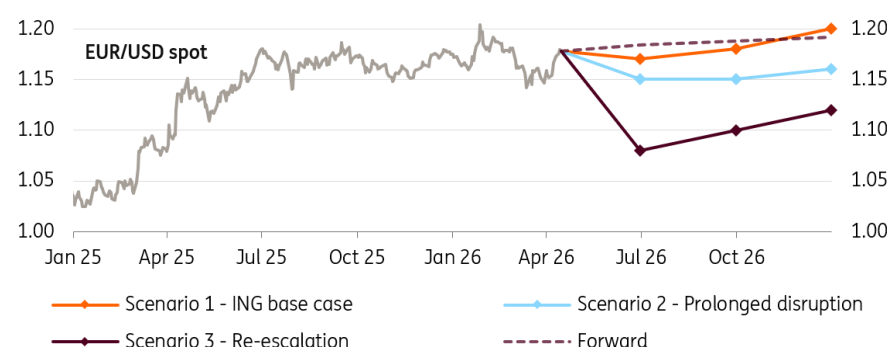
## EUR/USD: Our baseline remains modestly bullish

Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. While we now embed one ECB hike into our forecast, market pricing remains more hawkish (55bp) and we have revised our oil forecast higher. The backbone of our bearish USD view into year end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front end rates.

If anything, risks sit on the upside relative to our 1.20 year end target, as the ECB might end up delivering two hikes after all and political uncertainty building into the November midterms could trigger more US specific dollar weakness. And if Republicans lose both houses of Congress, limits on Trump's ability to pursue new fiscal stimulus could reinforce structurally bearish views on the dollar.

In the shorter run, we see risks mildly tilted on the downside for EUR/USD, and we target 1.170 for the end of the second quarter. Markets have already leaned aggressively into the de escalation trade, while ECB expectations still look too hawkish. We expect no change at the 30 April meeting, followed by scope for dovish repricing.

## Three scenarios for EUR/USD



Source: Refinitiv, ING

## Return below 1.10 in EUR/USD in severe scenario

In our second scenario, we estimate that a moderate re escalation and longer oil supply disruptions will push EUR/USD back toward 1.15 for much of the remainder of the year. That level served as a key anchor in March, and under this scenario we would expect two ECB hikes and one Fed cut, broadly in line with current market pricing.

In the most severe scenario, the sensitivity of USD crosses to oil prices should rise sharply, relegating rate differentials to a secondary role. Average Brent prices in the US\$135-150/bbl range would, in our view, be consistent with a move back below 1.10 in EUR/USD. That assumes an accompanying sharp deterioration in global risk sentiment, in a stagflationary environment where the Fed decides not to cut rates.

## In numbers: Our three scenarios

|                           | ① Base case |      |      | ② Prolonged disruption |      |      | ③ Re-escalation |      |      |
|---------------------------|-------------|------|------|------------------------|------|------|-----------------|------|------|
|                           | Q2          | Q3   | Q4   | Q2                     | Q3   | Q4   | Q2              | Q3   | Q4   |
| Brent Crude (USD/bbl)     | 96          | 93   | 88   | 110                    | 102  | 100  | 135             | 150  | 120  |
| Dutch TTF gas (EUR/MWh)   | 55          | 45   | 45   | 74                     | 60   | 60   | 90              | 75   | 80   |
| US Inflation (YoY%)       | 4.1         | 3.8  | 3.2  | 4.4                    | 5.1  | 4.8  | 4.9             | 6.7  | 6.4  |
| Eurozone Inflation (YoY%) | 3.7         | 3.9  | 3.8  | 4.1                    | 4.5  | 4.5  | 4.6             | 6.0  | 5.8  |
| ECB Deposit Rate (%)      | 2.25        | 2.25 | 2.25 | 2.25                   | 2.50 | 2.50 | 2.25            | 2.50 | 2.75 |
| Fed Funds Rate (%)        | 3.75        | 3.50 | 3.25 | 3.75                   | 3.75 | 3.50 | 3.75            | 3.75 | 3.75 |
| 2Y EUR swap rate (%)      | 2.75        | 2.70 | 2.65 | 3.00                   | 2.90 | 2.70 | 3.20            | 3.10 | 2.75 |
| 10Y EUR swap rate (%)     | 3.10        | 3.00 | 3.00 | 3.20                   | 3.00 | 2.90 | 3.35            | 2.90 | 2.60 |
| 2Y USD swap rate (%)      | 3.55        | 3.30 | 3.20 | 3.90                   | 3.50 | 3.10 | 4.00            | 3.75 | 3.00 |
| 10Y USD swap rate (%)     | 4.05        | 3.85 | 3.80 | 4.10                   | 3.80 | 3.60 | 4.15            | 3.75 | 2.90 |
| EUR/USD                   | 1.17        | 1.18 | 1.20 | 1.15                   | 1.15 | 1.16 | 1.08            | 1.10 | 1.12 |

Source: ING

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